

0

OFTEN, IT'S JUST gut feeling. Ask dealmakers how they identify an opportunity and this is the most likely answer. It helps them spot a transaction ahead of time and quickly plan on making that big move. One such instance is the recent buyout of Holcim's India assets by the Adani group.

Narrating the sequence of events, a veteran investment banker says it was clear to him in early 2018 that the Switzerland-headquartered cement major was having a relook at its India business. A year before that, the two companies that Holcim owned here—Ambuja Cements and ACC—independently spoke of considering a merger. Suddenly, everything went cold. The symptoms were all there. “As competition was acquiring assets in a hurry, the lack of action at Ambuja and ACC stood out,” he says. At that point, murmurs abounded that the time taken to acquire land or limestone reserves had been frustrating for Holcim. In reality, they were merely biding time since a decision had all but been taken. First, in mid-2018, the merger plan was dropped and, finally, this May, the 70 million tonnes of cement manufacturing capacity that the two companies owned exchanged hands, with the Gautam Adani-headed group sealing the deal for \$10.5 billion.

Now, for almost a year and a half, the activity levels on deal street have remained unabated—data from Dealogic says the total value of India-targeted M&As for 2021 was \$109 billion, while the number for 2022 (till early May) stood at \$96 billion, not including the Adani buyout. The joke among bankers is that this period is seeing “pent-up frustration” after the pandemic. The mood is enthusiastic, the amounts being

21

DEALS

THE TATA GROUP HAS CONCLUDED IN THE PAST TWO YEARS, INCLUDING THE MEGA TAKEOVER OF AIR INDIA FROM THE GOVERNMENT

\$2

BILLION

THE INVESTMENT BYJU'S MADE IN 2021 FOR 11 ACQUISITIONS, INCLUDING THE PURCHASE OF AAKASH EDUCATIONAL SERVICES

M&As HAVE PICKED UP PACE SINCE 2021. THE SUCCESSFUL SALE OF DISTRESSED ASSETS AND THE IBC HAVE PROVIDED THE IMPETUS

spoken of are not small, activity is across sectors, but with some marked differences from the past. India Inc. is not craving for overseas assets, although there is no paucity of funding. There are good businesses to be bought in India and it's not just the companies in the midst of action. Private equity (PE) funds are acquiring controlling stakes as opposed to the minority holding or perhaps a board seat they normally settled for.

PAST AND PRESENT

Just what is driving this M&A frenzy? A closer look reveals it is only a culmination of what has taken place